

The Rising Cost of Health Insurance

Health has emerged as the fastest-growing segment in the non-life insurance segment. However, the market remains under-penetrated—one reason being rising premiums and treatment costs

BY NACHIKET KELKAR

A RECENT social media post left many people shocked. An X user, Nikhil Jha, said a reputed hospital in Mumbai charged one of his followers ₹11.04 lakh for a hernia surgery. While the post triggered a debate—with many questioning the lack of details such as hospital discharge summary or whether the patient had other complications—it laid bare the reality of surging healthcare costs in India.

A PolicyBazaar study last year found that surgery costs in India

had increased by up to 300% over the last decade. Even routine procedures such as cataract cost more than twice as much they did ten years ago. Not surprisingly, health has been one of the fastest-growing insurance segments over the last few years.

According to a study by GlobalData, gross written premiums of India's general insurance industry have risen from ₹2.30 lakh crore in 2021 to around ₹3.50 lakh crore in 2025 and are forecast to touch ₹5.4 lakh crore in 2030.

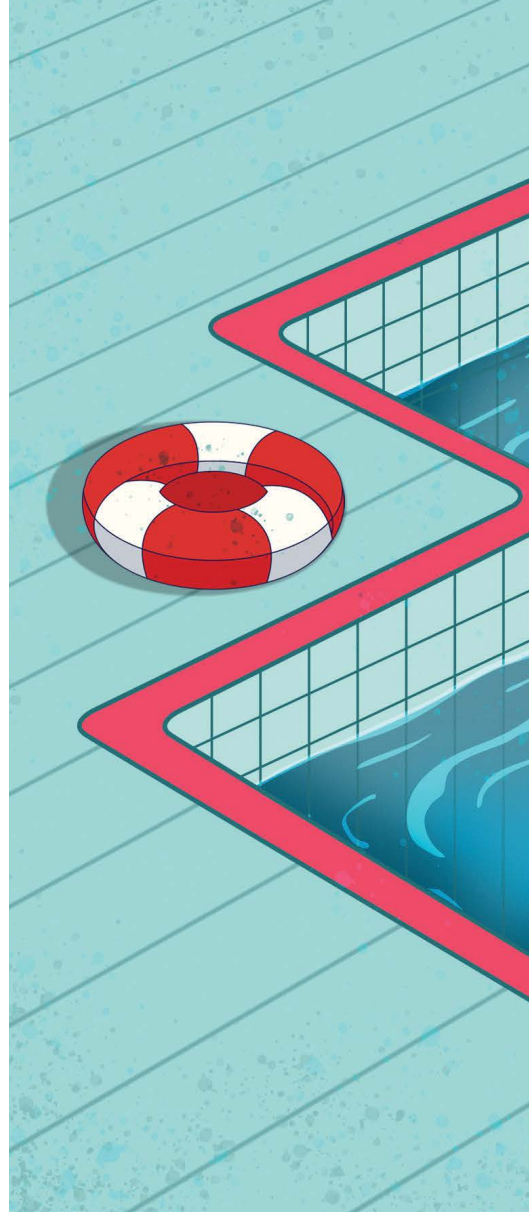
Personal accident and health accounted for the largest share of general insurance premiums at close to 41% in 2025 compared with

35.7% in 2021. GlobalData expects a 9% uptick in 2026.

“Three forces are converging—strong regulatory vision, rapid digital adoption, and awareness among households about the need for health insurance,” Amarnath Saxena, chief technical officer, commercial, Bajaj General Insurance, tells *BT*.

There is another side to the story—rising health insurance premiums. According to a survey by LocalCircles earlier this year, a majority said their premiums had increased by 50-200% over the last three years.

“Health insurance premiums are closely linked to the cost of



ILLUSTRATIONS BY RAJ VERMA